

## Q2'26 Revenue and Margin Variance Analysis: Forecast vs. Actual

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### Summary

Q2'26 total revenue was \$12,560M. That is \$147M below the \$12,707M forecast, a 1.2% miss. The miss came from UCAN and APAC growing slower than expected, and from EMEA underperforming once currency effects are removed. LATAM grew faster than expected, helping offset some of the misses. The Operating margin was stronger than forecasted: 33.4% actual versus 30.0% assumed. This margin beat exceeded my Bull-case assumption of 32%. As a result, Operating Income beat the forecast by \$381M, even though revenue came in lower than expected. Netflix's own letter says that their margin strength comes from favorable timing of expenses. That means it may not be repeated, so we should be careful not to assume this margin level will continue in future quarters.

### Quick Look at Results

|                        | Forecast<br>(Base) | Actual   | Variance | Variance<br>(%) |
|------------------------|--------------------|----------|----------|-----------------|
| Total Revenue (\$M)    | \$12,707           | \$12,560 | (\$147)  | (1.2%)          |
| Operating Margin %     | 30.0%              | 33.4%    | 3.4%     | 11.3%           |
| Operating Income (\$M) | \$3,812            | \$4,193  | \$381    | 10.0%           |

### Revenue Variance by Region

| Region | Forecast<br>(Base) | Actual  | Variance<br>(\$M) | Variance<br>(%) | Assumed<br>Growth %<br>(YoY) | Actual<br>Growth<br>% (YoY) |
|--------|--------------------|---------|-------------------|-----------------|------------------------------|-----------------------------|
| UCAN   | \$5,520            | \$5,432 | (\$88)            | (1.6%)          | 12.0%                        | 10.2%                       |
| EMEA   | \$4,104            | \$4,034 | (\$70)            | (1.7%)          | 16.0%                        | 14.0%                       |
| LATAM  | \$1,529            | \$1,584 | \$55              | 3.6%            | 17.0%                        | 21.2%                       |
| APAC   | \$1,553            | \$1,510 | (\$43)            | (2.8%)          | 19.0%                        | 15.7%                       |

### Operating Income Bridge: Revenue vs. Margin Effect

The \$381M Operating Income beat has two parts. 1. The revenue miss alone cost about \$44M of profit, since lower revenue at the forecast margin rate means less profit. 2. The margin outperformance alone added around \$425M. Combined, these net the full \$381M beat. In simple terms, the beat came fully from margin, not from revenue. That is the opposite of what the headline numbers might suggest at first glance.

### Bottom Line

Q2 profitability was strong, but margin outperformance is unlikely to recur and shouldn't be built into future guidance. The bigger signal this quarter is not the margin beat; it's the slowdown in UCAN and APAC, which has now persisted for multiple quarters in a row. This trend is worth acknowledging before Q3'26 assumptions are finalized.

### Recommendations

1. Don't assume the 33.4% margin will continue. Netflix's letter says the beat is due to favorable expense timing. That is not a real improvement in the business; it is a timing effect. Margin assumptions for Q3'26 – Q1'27 should

stay close to the trailing average Base cause already in the model. We should not raise them just because of one strong quarter.

2. UCAN and APAC growth assumptions for Q3'26 should be revisited. Both regions missed by a wider margin than EMEA's currency-adjusted miss. Both also show a consistent slowdown throughout the last several quarters. This looks more like a real trend than a one-time miss.

3. Keep LATAM growth assumption as is or consider raising it. This is the second quarter in a row that LATAM has beaten its forecast, and it was already the fastest-growing region.